Newswise (University of East Anglia press release)

«Good leadership and values key to staff satisfaction, study finds»

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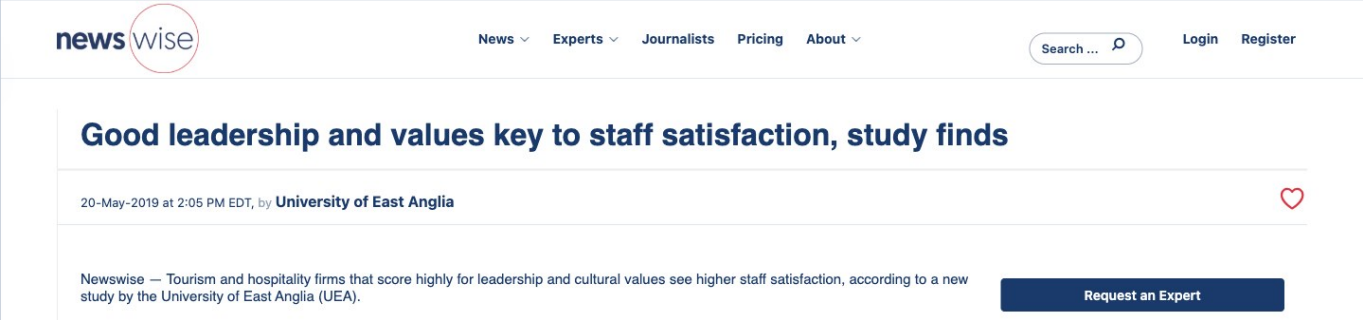
https://www.newswise.com/articles/good-leadership-and-values-key-to-staff-satisfaction-study-finds

Research. Stamolampros, P., Korfiatis, N., Chalvatzis, K. and Buhalis, D. (2019). Job Satisfaction and Employee Turnover Determinants in High Contact Services: Insights from Employees' Online Reviews. *Tourism Management*, 75, 130-147.



Newswise — Tourism and hospitality firms that score highly for leadership and cultural values see higher staff satisfaction, according to a new study by the University of East Anglia (UEA).

Researchers analysed almost 298,000 online review ratings by employees for 11,975 firms in the US to find the key elements of job satisfaction and employee turnover in high-contact services. The reviews were posted over a 10-year period on Glassdoor, one of the world's largest job and recruiting sites.

The results, published in the journal *Tourism Management*, also show that career progression is a critical factor in staff turnover, with a unit increase in the career opportunities rating reducing the likelihood of an employee leaving a company by 14.87%.

Significantly, the study quantifies the effect of job satisfaction on firm profitability. In particular, an increase in job satisfaction by one unit is associated with an increase in 'Return on Assets' - a measure of profitability - of between 1.2% and 1.4%. The authors say this finding is important because they do not find evidence supporting the reverse relationship - that profitable firms increase employee's satisfaction.

Co-author Dr Nikolaos Korfiatis, of UEA's Norwich Business School, said: "Skill shortages and high employee turnover are key challenges in the tourism and hospitality sector, and the problem is of high economic significance for firms due to the costs associated with severance, training and replacement. Job satisfaction is a critical factor in attracting and retaining a skilled workforce, but also plays a vital role in the customer experience.

"This study provides new evidence about the facets and dynamics of job satisfaction and their link to corporate profitability. Our analysis indicates that the feedback to management provided through online employee reviews holds important information with specific managerial implications.